

Performance Management Policy

Effective Date: Immediately

Policy Owner: People Operations

Approved By: Executive Leadership Team

Review Cadence: Annual

Confidential – Internal Use Only

Purpose

The purpose of this policy is to establish a consistent, objective, and defensible framework for evaluating, developing, and managing employee performance at MakeWorkInc.

This policy is designed to:

- Align individual performance with company strategy and operational priorities
- Reinforce accountability and measurable outcomes
- Provide structured feedback and development pathways
- Enable timely intervention when performance standards are not met
- Reduce legal and reputational risk through consistent documentation

Performance management is a core managerial responsibility and a business-critical discipline.

Scope

This policy applies to all regular full-time and part-time employees of MakeWorkInc. Contractors and temporary workers are excluded unless explicitly stated in their engagement terms.

Guiding Principles

MakeWorkInc's performance philosophy is grounded in:

1. **Business Impact First** – Performance is measured by outcomes, results, and contribution to company objectives.
2. **Manager Accountability** – Managers are responsible for setting expectations and addressing gaps promptly.
3. **Documentation Discipline** – Performance decisions must be documented and defensible.
4. **Differentiation** – High performance is recognized and rewarded; sustained underperformance is addressed decisively.
5. **No Surprises** – Employees should not learn of performance concerns for the first time in a formal review.

Performance Cycle Structure

Annual Cycle

MakeWorkInc operates on an annual performance cycle consisting of:

- **Goal Setting (Q1)**

- **Mid-Year Check-In (Q2/Q3)**
- **Year-End Review & Rating (Q4)**

People Operations will publish deadlines annually.

Goal Setting

At the start of each cycle:

- Employees and managers will establish measurable goals aligned to company and functional objectives.
- Goals should be specific, measurable, and time-bound.
- Leadership may cascade company-level OKRs into functional or individual goals.

Managers are responsible for ensuring goals are realistic, documented in the HRIS, and aligned to business priorities.

Ongoing Feedback

Managers are expected to:

- Conduct regular 1:1 meetings (minimum biweekly for most roles).
- Provide timely, direct feedback—both reinforcing and corrective.
- Document material performance conversations.

Informal feedback does not replace formal documentation when performance risk is present.

Performance Ratings

At year-end, managers will assign performance ratings based on overall impact and results.

Standard Rating Framework

Rating	Description
Exceeds Expectations	Consistently delivers exceptional results beyond role scope and expectations
Meets Expectations	Reliably delivers on defined goals and role requirements
Partially Meets Expectations	Inconsistent performance; some goals not met
Does Not Meet Expectations	Performance materially below standards

Ratings must reflect overall business contribution—not effort, tenure, or personal rapport.

Calibration

All ratings are subject to cross-functional calibration led by:

- Functional Leadership
- People Operations
- Executive Leadership (as appropriate)

Calibration ensures:

- Consistency across teams
- Prevention of rating inflation
- Equitable compensation decisions
- Identification of systemic performance issues

Final ratings may be adjusted during calibration.

Compensation Impact

Performance ratings may influence:

- Merit increases
- Bonus payouts
- Equity refresh grants
- Promotion eligibility

Compensation decisions remain at the discretion of the company and are not guaranteed by rating alone.

Promotions

Promotions are based on:

- Sustained high performance
- Demonstrated capability at the next level
- Business need and organizational structure
- Leadership endorsement

Promotions are not automatic based on tenure or strong single-cycle performance.

All promotions require documentation and People Operations review.

Addressing Underperformance

Early Intervention

Managers are required to address performance concerns promptly. Delayed intervention increases risk and reduces credibility.

When concerns arise, managers should:

- Clearly articulate the performance gap
- Define measurable improvement expectations
- Establish a defined timeline
- Document the discussion

People Operations should be consulted before formal corrective steps are taken.

Performance Improvement Plan (PIP)

A PIP may be initiated when performance deficiencies are sustained or significant.

A PIP typically includes:

- Clear statement of deficiencies
- Specific performance expectations
- Measurable deliverables
- Defined review period (commonly 30–60 days)
- Consequences of failure to improve

PIPs are formal documents and must be reviewed by People Operations prior to issuance.

Successful completion of a PIP does not guarantee continued employment or future promotion.

Failure to Improve

If performance does not meet expectations within the defined timeframe:

- Employment may be terminated
- Alternative action may be taken at the company's discretion

MakeWorkInc reserves the right to bypass progressive steps depending on the severity of performance or conduct issues.

New Hire Introductory Period

New employees are subject to an introductory period (commonly 90 days unless otherwise specified).

During this period:

- Performance expectations are evaluated closely
- Employment may be terminated at any time consistent with at-will employment principles

Completion of the introductory period does not alter at-will status.

Documentation Requirements

Managers must document:

- Goal setting discussions
- Mid-year check-ins
- Year-end evaluations
- Performance warnings
- PIPs and outcomes

Well-documented performance management protects the company in:

- Termination disputes
- Discrimination claims
- Unemployment challenges
- Litigation scenarios

Failure to document may result in managerial accountability review.

Role of People Operations

People Operations is responsible for:

- Policy governance
- Calibration oversight
- Documentation review
- Coaching managers on difficult conversations
- Risk mitigation and compliance alignment

People Operations does not replace managerial judgment but provides risk oversight.

Appeals Process

Employees who believe their review was procedurally flawed may request a review by People Operations within 10 business days of receiving their rating.

This process evaluates procedural consistency—not subjective disagreement with performance feedback.

Final determinations rest with leadership.

Non-Retaliation

Employees will not be subject to retaliation for participating in performance reviews or raising good-faith concerns about the process.

Policy Governance

This policy does not create a contract of employment and does not alter the at-will employment relationship where applicable by law.

MakeWorkInc reserves the right to amend, interpret, or deviate from this policy at its discretion, consistent with applicable law.